

firms like yours, and, on average, they were up 1.2 percent last month. To what do you attribute your underperformance?”

I sit on several multibillion-dollar investment boards. I know from direct experience that after four or five quarters of outperformance by one manager and underperformance by another manager, the natural response is, “One guy knows what he’s doing, and the other guy doesn’t.” Not referencing the boards I am involved with, statistics demonstrate that money follows performance, meaning most allocators just chase who did well recently. It is hard to resist this temptation because you are getting all this data, and you have a fiduciary responsibility to try to do a good job. The world has become much more institutionalized over the last 25 years since that early fund of funds invested with us. There is much more number crunching and short-term performance monitoring by institutions, and time horizons have continually shortened.

What are the implications of that?

Since time horizons have shortened, the advantage of taking a longer-term investment horizon has increased. You would think that with the increased availability of databases, the explosion of computing power, the availability of the Internet, and a lot of really smart math guys getting involved in the financial markets, any factors that have done well over the last 20 years would tend to degrade over time. In fact, the valuation metrics that we use, which are longer term and require a willingness to wait for them to work, have actually gotten stronger. And the reason for that is that the institutionalization of the market has shortened time horizons—it has reduced the window of time managers have to outperform. Most managers can’t wait for two years for an investment to work. They have to perform now. Their institutional and individual clients appear to demand it through their money flows. That is why companies that are not expected to do as well in the next year or two as they did in the recent past, or companies that are subject to near-term uncertainty, are systematically underpriced. Even if a manager knows that he should be looking longer term, his investors pressure him for performance over the near term.